



Dak Guru
A Self Learning Portal

Prevention of Money Laundering Act, 2002

(Act 15 of 2003)

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DISCLAIMER: This booklet has been prepared strictly from an examination point of view. While every effort has been made to ensure accuracy and the inclusion of recent changes, amendments, and updates to the relevant Acts, Rules, and Regulations, this document is intended as a study aid only. Readers are strongly recommended to refer to official government sources for authoritative information.

Chapter-I Preliminary

An Act to prevent money-laundering and to provide for confiscation of property derived from, or involved in, money-laundering and for matters connected therewith or incidental thereto.

- It was enacted on 17th Jan 2003
- Came into the force: - 01st July 2005
- It extends to whole of India

2. Definitions

- **"attachment"** means prohibition of transfer, conversion, disposition or movement of property by an order issued.
- **"banking company"** means a banking company or a co-operative bank to which the Banking Regulation Act, 1949 (10 of 1949) applies and includes any bank or banking institution referred to in section 51 of that Act;
- **"financial institution"** means a financial institution as defined in clause (c) of section 45-1 of the Reserve Bank of India Act, 1934 (2 of 1934) and includes a chit fund company, a housing finance institution, an authorised person, a payment system operator, a non-banking financial company and the Department of Posts in the Government of India;
- **"payment system"** means a system that enables payment to be effected between a payer and a beneficiary, involving clearing, payment or settlement service or all of them.

Explanation. - For the purposes of this clause, "payment system" includes the systems enabling credit card operations, debit card operations, smart card operations, money transfer operations or similar operations;

- **"payment system operator"** means a person who operates a payment system and such person includes his overseas principal.

Explanation. For the purposes of this clause, "overseas principal" means, —

(A) in the case of a person, being an individual, such individual residing outside India, who owns or controls or manages, directly or indirectly, the activities or functions of payment system in India;

(B) in the case of a Hindu undivided family, Karta of such Hindu undivided family residing outside India who owns or controls or manages, directly or indirectly, the activities or functions of payment system in India;

(C) in the case of a company, a firm, an association of persons, a body of individuals, an artificial juridical person, whether incorporated or not, such company, firm, association of persons, body of individuals, artificial juridical person incorporated or registered outside India or existing as such and which owns or controls or manages, directly or indirectly, the activities or functions of payment system in India.

- **"person"** includes-
 - (i) an individual,
 - (ii) a Hindu undivided family,
 - (iii) a company,
 - (iv) a firm,
 - (v) an association of persons or a body of individuals, whether incorporated or not,
 - (vi) every artificial juridical person not falling within any of the preceding sub-clauses,
 - (vii) any agency, office or branch owned or controlled by any of the above persons mentioned in the preceding sub-clauses;
- **"proceeds of crime"** means any property derived or obtained, directly or indirectly, by any person as a result of criminal activity relating to a scheduled offence or the value of any such property or where such property is taken or held outside the country, then the property equivalent in value held within the country or abroad. it is hereby clarified that "proceeds of crime" include property not only derived or obtained from the scheduled offence but also any property which may directly or indirectly be derived or obtained as a result of any criminal activity relatable to the scheduled offence.
- **"offence of cross border implications"**, means-
 - (i) any conduct by a person at a place outside India which constitutes an offence at that place and which would have constituted an offence specified in Part A, Part B or Part C of the Schedule, had it been committed in India and if such person transfers in any manner the proceeds of such conduct or part thereof to India; or
 - (ii) any offence specified in Part A, Part B or Part C of the Schedule which has been committed in India and the proceeds of crime, or part thereof have been transferred to a place outside India or any attempt has been made to transfer the proceeds of crime, or part thereof from India to a place outside India.
- **"property"** means any property or assets of every description, whether corporeal or incorporeal, movable or immovable, tangible or intangible and includes deeds and instruments evidencing title to, or interest in, such property or assets, wherever located.
- **"reporting entity"** means a banking company, financial institution, intermediary or a person carrying on a designated business or profession.

RECENT AMENDMENT / UPDATE

Recent Notifications (2023): Expansion of "Reporting Entity"

1. **Virtual Digital Assets (Crypto):** Service providers dealing in virtual digital assets have been notified as "persons carrying on designated business or profession" (Notification dated 7th March 2023).
2. **Professionals (CA/CS/CWA):** Practicing professionals carrying out financial transactions on behalf of clients (e.g., buying/selling property, managing assets) are now Reporting Entities (Notification dated 3rd May 2023).

- **"scheduled offence"** means-
 - (i) the offences specified under Part A of the Schedule; or
 - (ii) the offences specified under Part B of the Schedule if the total value involved in such offences is one crore rupees or more; or
 - (iii) the offences specified under Part C of the Schedule.
- **"value"** means the fair market value of any property on the date of its acquisition by any person, or if such date cannot be determined, the date on which such property is possessed by such person.

Chapter-II Offence of Money Laundering

3. Offence of money-laundering

Whosoever directly or indirectly attempts to indulge or knowingly assists or knowingly is a party or is actually involved in any process or activity connected with the proceeds of crime including its concealment, possession, acquisition or use and projecting or claiming, it as untainted property shall be guilty of offence of money-laundering.

- it is hereby clarified that
 - (i) a person shall be guilty of offence of money-laundering if such person is found to have directly or indirectly attempted to indulge or knowingly assisted or knowingly is a party or is actually involved in one or more of the following processes or activities connected with proceeds of crime, namely: -
 - (a) concealment; or
 - (b) possession; or
 - (c) acquisition; or
 - (d) use; or
 - (e) projecting as untainted property; or
 - (f) claiming as untainted property, in any manner whatsoever;

- (ii) the process or activity connected with proceeds of crime is a continuing activity and continues till such time a person is directly or indirectly enjoying the proceeds of crime by its concealment or possession or acquisition or use or projecting it as untainted property or claiming it as untainted property in any manner whatsoever

4. Punishment for money-laundering

Rigorous imprisonment for a term which shall not be less than 3 years but which may extend to 7 years and shall also be liable to fine.

- Provided that where the proceeds of crime involved in money-laundering relates to any offence related to poppy, opium, narcotics, drugs. the provisions of this section shall have effect as if for the words "which may extend to seven years", the words "which may extend to ten years" had been substituted.

Chapter-III ATTACHMENT, ADJUDICATION AND CONFISCATION

5. Attachment of property involved in money-laundering

(1) Where the Director or any other officer not below the rank of Deputy Director authorised by the Director for the purposes of this section, has reason to believe (the reason for such belief to be recorded in writing), on the basis of material in his possession, that-

- (a) any person is in possession of any proceeds of crime; and
- (b) such proceeds of crime are likely to be concealed, transferred or dealt with in any manner which may result in frustrating any proceedings relating to confiscation of such proceeds of crime

He may, by order in writing provisionally attach a property for a period not exceeding 180 days from the date of order if he has reason to believe that properties suspected to be proceeds of crime.

(2) The Director, or any other officer not below the rank of Deputy Director, shall, immediately after attachment forward a copy of the order, along with the material in his possession, to the Adjudicating Authority, in a sealed envelope and such Adjudicating Authority shall keep such order and material for such period as may be prescribed.

The Director or any other officer who provisionally attaches any property shall, within a period of thirty days from such attachment, file a complaint stating the facts of such attachment before the Adjudicating Authority.

6. Adjudicating Authorities, composition, powers, etc.

An Adjudicating Authority shall consist of a Chairperson and two other Members.

- The appointment as Member of an Adjudicating Authority
- in the field of law
 - (i) he is qualified for appointment as District Judge; or
 - (ii) has been a member of the Indian Legal Service and has held a post in Grade I of that service;
- in the field of finance, accountancy or administration
 - (i) if he possesses such qualifications as may be prescribed
- The bench of adjudication authority shall ordinarily sit at New Delhi.
- The chairperson and every member shall hold office as such for a term of 5 years from the date on which he enters upon office or attaining 65 years whichever is the earliest.
- The adjudicating authority shall not be bound by the procedure laid down by the Code of Civil Procedure, 1908 (5 of 1908) but shall be guided by the principles of natural justice and, subject to the other provisions of this Act, the Adjudicating Authority shall have powers to regulate its own procedure.

8. Adjudication

if the Adjudicating Authority has reason to believe that any person has committed an offence under section 3 or is in possession of proceeds of crime

- He may serve a notice of not less than 30 days on such person calling upon him to indicate source of his income.
- The adjudicating authority shall consider the reply, if any to the notice issued.
- Where adjudicating authority decides that any property is involved in money laundering, the attachment of property will continue (Investigation for a period not exceeding 365 days) during the pendency of the proceeding under any court. For the purposes of computing the period of three hundred and sixty-five days, the period during which the investigation is stayed by any court under any law for the time being in force shall be excluded.

Where on conclusion of a trial of an offence under this Act, the Special Court finds that the offence of money-laundering has been committed, it shall order that such property involved in the money laundering or which has been used for commission of the offence of money-laundering shall stand confiscated to the Central Government.

9. Vesting of property in Central Government

Where an order of confiscation has been made respect of any property of a person, all the rights and title in such property shall vest absolutely in the Central Government free from all encumbrances.

Provided that where the Special Court or the Adjudicating Authority, as the case may be after giving an opportunity of being heard to any other person interested in the property attached is of the opinion that any encumbrance on the property or or lease-hold interest has been created with a view to defeat the provisions of this Chapter, it may, by order, declare such encumbrance or lease-hold interest to be void and thereupon the aforesaid property shall vest in the Central Government free from such encumbrances or lease-hold interest.

10. Management of properties confiscated under this Chapter

The Central Government may, by order published in the Official Gazette, appoint as many of its officers (not below the rank of a Joint Secretary to the Government of India) as it thinks fit to perform the functions of an Administrator. The Administrator shall receive and manage the property in relation to which an order has been made.

11. Power regarding summons, production of documents and evidence, etc.

The Adjudicating Authority shall have the same powers as are vested in a civil court under the Code of Civil Procedure, 1908 (5 of 1908) while trying a suit in respect of the following matters, namely:

- (a) discovery and inspection;
- (b) enforcing the attendance of any person, including any officer of a banking company or a financial institution or a company, and examining him on oath;
- (c) compelling the production of records;
- (d) receiving evidence on affidavits;
- (e) issuing commissions for examination of witnesses and documents; and
- (f) any other matter which may be prescribed.

All the persons so summoned shall be bound to attend in person or through authorised agents, as the Adjudicating Authority may direct, and shall be bound to state the truth upon any subject respecting which they are examined or make statements, and produce such documents as may be required.

CHAPTER IV - OBLIGATIONS OF BANKING COMPANIES, FINANCIAL INSTITUTIONS AND INTER-MEDIARIES

12. Reporting entity to maintain records

Every reporting entity shall-

- (a) maintain a record of all transactions, including information relating to transactions in such manner as to enable it to reconstruct individual transactions. The records shall be maintained for a period of five years from the date of transaction between a client and the reporting entity.
- (b) furnish to the Director within such time as may be prescribed, information relating to such transactions, whether attempted or executed, the nature and value of which may be prescribed;
- (c) maintain record of documents evidencing identity of its clients and beneficial owners as well as account files and business correspondence relating to its clients. The records shall be maintained for a period of five years after the business relationship between a client and the reporting entity has ended or the account has been closed, whichever is later

Every information maintained, furnished or verified, save as otherwise provided under any law for the time being in force, shall be kept confidential.

RECENT AMENDMENT / UPDATE

Recent Amendment (2023 Rules):

PMLA (Maintenance of Records) Amendment Rules, 2023, mandate that Reporting Entities must implement group-wide programmes against money laundering and terror financing, including policies for sharing information within the group for Client Due Diligence (CDD) purposes.

13. Power of Director to impose fine

If the Director, in the course of any inquiry, finds that a reporting entity or its designated director on the Board or any of its employees has failed to comply with the obligations under this Chapter, then, without prejudice to any other action that may be taken under any other provisions of this Act, he may-

- (a) issue a warning in writing; or
- (b) direct such reporting entity or its designated director on the Board or any of its employees, to comply with specific instructions; or

- (c) direct such reporting entity or its designated director on the Board or any of its employees, to send reports at such interval as may be prescribed on the measures it is taking; or
- (d) by an order, impose a monetary penalty on such reporting entity or its designated director on the Board or any of its employees, which shall not be less than Rs.10,000/- rupees but may extend to Rs.1,00,000 rupees for each failure.

CHAPTER V - SUMMONS, SEARCHES AND SEIZURES, ETC.

16. Power of survey

An authority, on the basis of material in his possession, has reason to believe (the reasons for such belief to be recorded in writing) that an offence under section 3 has been committed, he may enter any place-

- (i) within the limits of the area assigned to him; or
- (ii) in respect of which he is authorised for the purposes of this section by such other authority, who is assigned the area within which such place is situated, at which any act constituting the commission of such offence is carried on

17. Search and Seizure

Where the Director or any other officer not below the rank of Deputy Director authorised by him for the purposes of this section, on the basis of information in his possession, has reason to believe (the reason for such belief to be recorded in writing) that any person-

- (i) has committed any act which constitutes money-laundering,
- (ii) is in possession of any proceeds of crime involved in money-laundering, or
- (iii) is in possession of any records relating to money-laundering,
- (iv) is in possession of any property related to crime

then, subject to the rules made in this behalf, he may authorise any officer subordinate to him to-

- (a) enter and search any building, place, vessel, vehicle or aircraft where he has reason to suspect that such records or proceeds of crime are kept;
- (b) break open the lock of any door, box, locker, safe, almirah where the keys thereof are not available;

- (c) seize any record or property found as a result of such search;
- (d) place marks of identification on such record or property, if required or make or cause to be made extracts or copies therefrom;
- (e) make a note or an inventory of such record or property;
- (f) examine on oath any person, who is found to be in possession or control of any record or property, in respect of all matters relevant for the purposes of any investigation under this Act;

The authority (the Director or any other officer not below the rank of Deputy Director authorized by him) seizing any record or property or freezing any record or property shall, within a period of 30 days from such seizure or freezing, as the case may be, file an application, requesting for retention of such record or property seized or for continuation of the order of freezing served under before the Adjudicating Authority.

The authority, who has been authorized shall, immediately after search and seizure [or upon issuance of a freezing order], forward a copy of the reasons so recorded along with material in his possession, to the Adjudicating Authority in a sealed envelope, in the manner, as may be prescribed and such Adjudicating Authority shall keep such reasons and material for such period, as may be prescribed.

18. Search of Person

If an authority, authorised in this behalf by the Central Government by general or special order, has reason to believe (the reason for such belief to be recorded in writing) that any person has secreted about his person or in anything under his possession, ownership or control, any record or proceeds of crime which may be useful for or relevant to any proceedings under this Act, he may search that person and seize such record or property which may be useful for or relevant to any proceedings under this Act.

Where an authority is about to search any person, he shall, if such person so requires, take such person within twenty-four hours to the nearest Gazetted Officer, superior in rank to him, or a Magistrate:

Provided that the period of twenty-four hours shall exclude the time necessary for the journey undertaken to take such person to the nearest Gazetted Officer, superior in rank to him, or Magistrate's Court.

19. Power to arrest

If the Director, Deputy Director, Assistant Director or any other officer authorized in this behalf by the Central Government by general or special order, has on the basis of material in his possession, reason to believe (the reason for such belief to be recorded in writing) that any person has been guilty of an offence punishable under this Act, he

may arrest such person and shall, as soon as may be, inform him of the grounds for such arrest.

The Director, Deputy Director, Assistant Director or any other officer shall, immediately after arrest of such person, forward a copy of the order along with the material in his possession, to the Adjudicating Authority in a sealed envelope, in the manner, as may be prescribed and such Adjudicating Authority shall keep such order and material for such period, as may be prescribed.

Every person arrested shall within twenty-four hours, be taken to a Special Court or Judicial Magistrate or a Metropolitan Magistrate, as the case may be, having jurisdiction: Provided that the period of twenty-four hours shall exclude the time necessary for the journey from the place of arrest to the Special Court or Magistrate's Court.

20. Retention of Property & 21. Retention of Record

Property/record may if seized be retained or if frozen may continue to remain frozen for a period not exceeding 180 days from day of seizure.

The officer authorized by the Director shall, immediately after he has passed an order for retention or continuation of freezing of the property/record for purposes of adjudication forward a copy of the order along with the material in his possession to the Adjudicating Authority, in a sealed envelope.

On the expiry of the period 180 days the property shall be returned to the person from whom such property was seized or whose property was ordered to be frozen unless the Adjudicating Authority permits retention or continuation of freezing of such property beyond the said period.

After passing the order of confiscation, Special Court shall direct the release of all property other than the property involved in money-laundering to the person from whom such property was seized or the persons entitled to receive it.

Where an order releasing the property/record has been made by the special court by or the Adjudicating Authority, the director or any officer authorized by him in this behalf may withhold the release of any such property for a period of 90 days from the date of such order.

22. Presumption as to records or property in certain cases

Where any records or property are or is found in the possession or control of any person in the course of a survey or a search or where any record or property is produced by any person or has been resumed or seized from the custody or control of any person or has been frozen under this Act or under any other law for the time being in force it shall be presumed that-

- (i) such records or property belong or belongs to such person;
- (ii) the contents of such records are true; and
- (iii) the signature and every other part of such records which purport to be in the handwriting of any particular person or which may reasonably be assumed to have been signed by, or to be in the handwriting of, any particular person, are in that person's handwriting, and in the case of a record, stamped, executed or attested, that it was executed or attested by the person by whom it purports to have been so stamped, executed or attested.

23. Presumption in inter-connected transactions

Where money-laundering involves two or more inter-connected transactions and one or more such transactions is or are proved to be involved in money-laundering, then for the purposes of adjudication or confiscation or for the trial of the money-laundering offence, it shall unless otherwise proved to the satisfaction of the Adjudicating Authority or the Special Court be presumed that the remaining transactions from part of such interconnected transactions.

24. Burden of proof

In any proceeding relating to proceeds of crime under this Act,

- (a) in the case of a person charged with the offence of money-laundering, the Authority or Court shall, unless the contrary is proved, presume that such proceeds of crime are involved in money-laundering; and
- (b) in the case of any other person the Authority or Court, may presume that such proceeds of crime are involved in money-laundering.

CHAPTER VI - APPELLATE TRIBUNAL

25. Appellate Tribunal

Appellate Tribunal is setup under *The Smugglers and Foreign Exchange Manipulators (forfeiture of property act 1976)*.

26. Appeal to Appellate Tribunal

The Director or any person aggrieved by an order made by the Adjudicating Authority under this Act, may prefer an appeal to the Appellate Tribunal.

Any [reporting entity] aggrieved by any order of the Director may prefer an appeal to the Appellate Tribunal.

Every appeal preferred shall be filled within a period of *45 days* from the date on which a copy of the order made by the Adjudicating Authority.

Endeavour shall be made by it to dispose of the appeal finally within 6 months from the date of filling of the appeal.

27 to 35 Omitted

35. Procedure and power of Appellate Tribunal

The appellate tribunal shall have the powers of a Civil Court. The Appellate Tribunal shall have, for the purposes of discharging its functions under this Act, the same powers as are vested in a civil court under the Code of Civil Procedure, 1908 (5 of 1908) while trying a suit, in respect of the following matters, namely: —

- (a) summoning and enforcing the attendance of any person and examining him on oath;
- (b) requiring the discovery and production of documents;
- (c) receiving evidence on affidavits;
- (d) subject to the provisions of sections 123 and 124 of the Indian Evidence Act, 1872 (1 of 1872), requisitioning any public record or document or copy of such record or document from any office;
- (e) issuing commissions for the examination of witnesses or documents;
- (f) reviewing its decisions;
- (g) dismissing a representation for default or deciding it ex parte;
- (h) setting aside any order of dismissal of any representation for default or any order passed by it ex parte; and
- (i) any other matter, which may be, prescribed by the Central Government.

41. Civil court not to have jurisdiction

No civil court shall have jurisdiction to entertain any suit or proceeding in respect of any matter which the Director, an Adjudicating Authority or the Appellate Tribunal is empowered by or under this Act to determine and no injunction shall be granted by any court or other authority in respect of any action taken or to be taken in pursuance of any power conferred by or under this Act.

42. Appeal to High Court

Any person aggrieved by any decision or order of the Appellate Tribunal may file an appeal to the High Court within *60 days* from the date of communication of the decision.

CHAPTER VII SPECIAL COURTS

43. Special Courts

The Central Government, in consultation with the Chief Justice of the High Court, shall, for trial of offence punishable under section 4, by notification, designate one or more Courts of Session as Special Court or Special Courts.

44. Offences triable by Special Courts

An offence punishable under section 4 and any scheduled offence connected to the offence under that section shall be triable by the Special Court constituted for the area in which the offence has been committed.

a Special Court while trying the scheduled offence or the offence of money-laundering shall hold trial in accordance with the provisions of the Code of Criminal Procedure, 1973 (2 of 1974)/ Bharatiya Nagarik Suraksha Sanhita, 2023 as it applies to a trial before a Court of Session.

Nothing contained in this section shall be deemed to affect the special powers of the High Court regarding bail under Code of Criminal Procedure, 1973 (2 of 1974)/ Bharatiya Nagarik Suraksha Sanhita, 2023.

45. Offences to be cognizable and non-bailable

No person accused of an offence [under this Act] shall be released on bail or on his own bond unless-

(1) the Public Prosecutor has been given an opportunity to oppose the application for such release; and

(2) where the Public Prosecutor opposes the application, the court is satisfied that there are reasonable grounds for believing that he is not guilty of such offence and that he is not likely to commit any offence while on bail:

A person who is under the *age of 16 years* or *is a woman* or *is sick or infirm* is accused either on his own or along with other co-accused or money laundering a sum of less than *1 Crore rupees* may be released on bail, of the special court so directs.

Provided further that the Special Court shall not take cognizance of any offence punish-

able under section 4 except upon a complaint in writing made by-

(1) the Director; or

(2) any officer of the Central Government or a State Government authorized in writing in this behalf by the Central Government by a general or special order made in this behalf by that Government.

RECENT AMENDMENT / UPDATE

Recent Legal Update (2024/2025):

The Supreme Court of India has reiterated that the twin conditions under Section 45(1) (opportunity to Public Prosecutor and satisfaction of the Court regarding innocence) are mandatory and must be satisfied for the grant of bail in money laundering cases.

46. Application of Code of Criminal, 1973 to proceedings before special courts

The provisions of the Code of Criminal Procedure, 1973 (2 of 1974) (including the provisions as to bails or bonds), shall apply to the proceedings before a Special Court and for the purposes of the said provisions, the Special Court shall be deemed to be a Court of Session and the persons conducting the prosecution before the Special Court, shall be deemed to be a Public Prosecutor -

A person shall not be qualified to be appointed as a public prosecutor or a special public prosecutor under this section unless he has been in practice as an advocate for not less than *7 years* under the union or state, requiring special knowledge of law.

CHAPTER IX - RECIPROCAL ARRANGEMENT FOR ASSISTANCE IN CERTAIN MATTERS AND PROCEDURE FOR ATTACHMENT AND CONFISCATION OF PROPERTY

55. Definitions

In this Chapter, unless the context otherwise requires, —

- (a) "contracting State" means any country or place outside India in respect of which arrangements have been made by the Central Government with the Government of such country through a treaty or otherwise;
- (b) "identifying" includes establishment of a proof that the property was derived from,

or used in the commission of an offence under section 3

- (c) "tracing" means determining the nature, source, disposition, movement, title or ownership of property.

56. Agreements with foreign countries

(1) The Central Government may enter into an agreement with the Government of any country outside India for-

- (a) enforcing the provisions of this Act;
- (b) exchange of information for the prevention of any offence under this Act or under the corresponding law in force in that country or investigation of cases relating to any offence under this Act, and may, by notification in the Official Gazette, make such provisions as may be necessary for implementing the agreement.

58A. Special Court to release the property

Where on closure of the criminal case or conclusion of a trial in a criminal court outside India under the corresponding law of any other country, such court finds that the offence of money-laundering has not taken place or the property in India is not involved in money-laundering, the Special Court may, on an application moved by the concerned person or the Director, after notice to the other party, order release of such property to the person entitled to receive it

CHAPTER X MISCELLANEOUS

62. Punishment of Vexatious Search

Any authority or officer exercising powers under this act or any rule made under, who without reasons recorded in writing-

- Search or cause to be searched any building or place
- Detains or search or arrest any person.

Shall for every such offence be liable on conviction for imprisonment for a term which may extend to *2 years* or fine which may extend *Rs.50,000/-* or both.

63. Punishment for false information or failure to give information, etc

1. Any person wilfully and maliciously giving false information and so causing an arrest or a search to be made under this Act shall on conviction be liable for imprisonment for a term which may extend to *two years* or with fine which may extend to *fifty thousand rupees* or both.

2. If a person

- Refuse to answer any question
- Refuse to sign any statement
- Refuse to attend after issuing summon

He shall pay, by way of penalty a sum which shall not be less than *Rs.500/-* but may be extend *Rs. 10000/-*

64. Cognizance of offence

1. No court shall take cognizance of any offence under section 62 and 63 except with previous sanction of the central government.

2. The central government shall by an order either give sanction or refuse to give sanction within *90 days* of the receipt of the request in this behalf.

67. Bar of suits in civil courts

No suit shall be brought in any civil court to set aside or modify any proceeding taken or order made under this Act and no prosecution, suit or other proceeding shall lie against the Government or any officer of the Government for anything done or intended to be done in good faith under this Act.

Guidelines on Know Your Customer (KYC) Norms / Anti-Money Laundering (AML) Standards / Combating Financing of Terrorism (CFT) Norms

(Section-12AA of PMLA, 2002)

KYC Policy

Under PMLA provisions, Post Office Savings Bank declares its KYC Policy on the following four elements:

- (a) Customer Acceptance Policy
- (b) Risk Management
- (c) Customer Identification Procedure
- (d) Monitoring of Transactions, Record Keeping and Reporting.

Customer Due Diligence (CDD)

Conducting Customer Due Diligence (CDD) implies that each Post Office obtains satisfactory evidence and properly establishes in its records, the identity and legal existence of any person doing any kind of business with it. Such evidence must be substantiated by reliable and independent source documents.

KYC Norms

(a) For all risk - categories

1. Two Photograph (AOF+KYC Form) (three in case of the BO Extra photo on specimen signature book)
2. Aadhaar
3. PAN
4. Address Proof – Aadhaar or PAN
5. If Aadhaar or PAN don't have present address the following document can be obtained
 - Official Valid Document
 - Document used for Limited purpose.

(b) For High-risk categories

- All items mentioned in Para (a)
- Proof of source of Fund

Categorization of Customers i.e. Risk categorization

1. **Low Risk:** The balance/maturity value of all accounts does not exceed Rs.50,000/-
2. **Medium Risk:** The balance/maturity value of all accounts exceed Rs.50,000/- up to Rs.10 lakh.
3. **High Risk:** The balance/maturity value of all accounts exceed Rs.10 lakh.

Proof of source of fund is mandatory for High Risk category account.

Review Of Customer Due Diligence/Re-KYC

Risk Category	Number of Years after which the CCD documents and information should be reviewed
Low	Every 7 Years
Medium	Every 5 Years
High	Every 2 Years

Monitoring of Transaction

1. Maintenance of Records of Transactions All post offices shall maintain the record of all transactions including the record of:-
 - (a) All cash transactions of the value of more than Rs.10 Lakh.
 - (b) All series of cash transactions which are less than Rs.10 lakh but are integrally connected and are carried out within one month period and totally exceed Rs.10 Lakh.
 - (c) Any transaction where cash is accepted and forged or counterfeit currency notes are used or where forgery of valuable Security or documents has taken place.
 - (d) Any attempted transaction involving forged or counterfeit currency notes, forged security or document.
 - (e) All suspicious transactions, involving deposit withdrawal, transfer of account, solvency certificate/Indemnity certificate etc. irrespective of the amount of transaction.

PART A: PMLA CHAPTER I & II (Q1 - Q15)

1. On which date did the Prevention of Money Laundering Act, 2002 come into force?
 - (a) 17th January 2003
 - (b) 1st June 2005
 - (c) 1st July 2005
 - (d) 1st April 2002
2. As per Section 2(1)(u) of PMLA, "Proceeds of Crime" refers to any property derived or obtained, directly or indirectly, by any person as a result of criminal activity relating to a:
 - (a) Cognizable Offence
 - (b) Scheduled Offence
 - (c) Non-bailable Offence
 - (d) Economic Offence
3. According to Section 3 of the PMLA, 2002, which of the following actions constitutes the offence of Money Laundering?
 - (a) Concealment or possession of proceeds of crime
 - (b) Acquisition or use of proceeds of crime
 - (c) Projecting or claiming proceeds of crime as untainted property
 - (d) All of the above
4. What is the minimum punishment for the offence of Money Laundering under Section 4 of the PMLA?
 - (a) Rigorous imprisonment for 1 year
 - (b) Rigorous imprisonment for 3 years
 - (c) Simple imprisonment for 2 years
 - (d) Rigorous imprisonment for 5 years
5. If the proceeds of crime involved in money laundering relates to an offence specified under Part A of the Schedule (Paragraph 2 - Narcotic Drugs and Psychotropic Substances Act, 1985), the maximum punishment may extend to:
 - (a) 7 years
 - (b) 10 years
 - (c) 14 years
 - (d) Life imprisonment

6. Which of the following is NOT included in the definition of "Person" under Section 2(1)(s) of the PMLA?
- (a) An Individual (c) A Company
(b) A Hindu Undivided Family (HUF) (d) A minor child acting independently
7. Under the PMLA, "Placement, Layering, and Integration" are typically associated with the stages of:
- (a) Investigation by ED (c) Asset Attachment
(b) Money Laundering (d) Judicial Review
8. Is there an upper limit on the fine that can be imposed under Section 4 for the offence of Money Laundering?
- (a) Yes, up to Rs. 5 Lakhs (b) Yes, up to Rs. 10 Lakhs (c) No, there is no upper limit (after Amendment) (d) Yes, double the amount of money laundered
9. As per Section 2(1)(d), "Attachment" means prohibition of transfer, conversion, disposition or movement of property by an order issued under:
- (a) Chapter II (c) Chapter V
(b) Chapter III (d) Chapter IV
10. Mr. X knowingly assists Mr. Y in concealing funds derived from drug trafficking but does not use the money himself. Is Mr. X guilty of money laundering under Section 3?
- (a) No, because he did not use the money. (c) Yes, because assisting in concealment is an offence.
(b) No, because the money belongs to Mr. Y. (d) Yes, but only if he received a commission.
11. Which authority is responsible for investigating the offence of Money Laundering under the PMLA?
- (a) Central Bureau of Investigation (CBI) (c) Directorate of Enforcement (ED)
(b) Reserve Bank of India (RBI) (d) Securities and Exchange Board of India (SEBI)

12. The term "Scheduled Offence" is defined under which sub-section of Section 2 of the PMLA?

- (a) Section 2(1)(x)
- (b) Section 2(1)(y)
- (c) Section 2(1)(u)
- (d) Section 2(1)(p)

13. In the context of PMLA, "property" includes:

- (a) Only tangible assets like land and cash.
- (b) Only intangible assets like patents.
- (c) Corporeal or incorporeal, movable or immovable assets.
- (d) Only immovable property located in India.

14. If property is taken or held outside the country, "proceeds of crime" includes the property equivalent in value held:

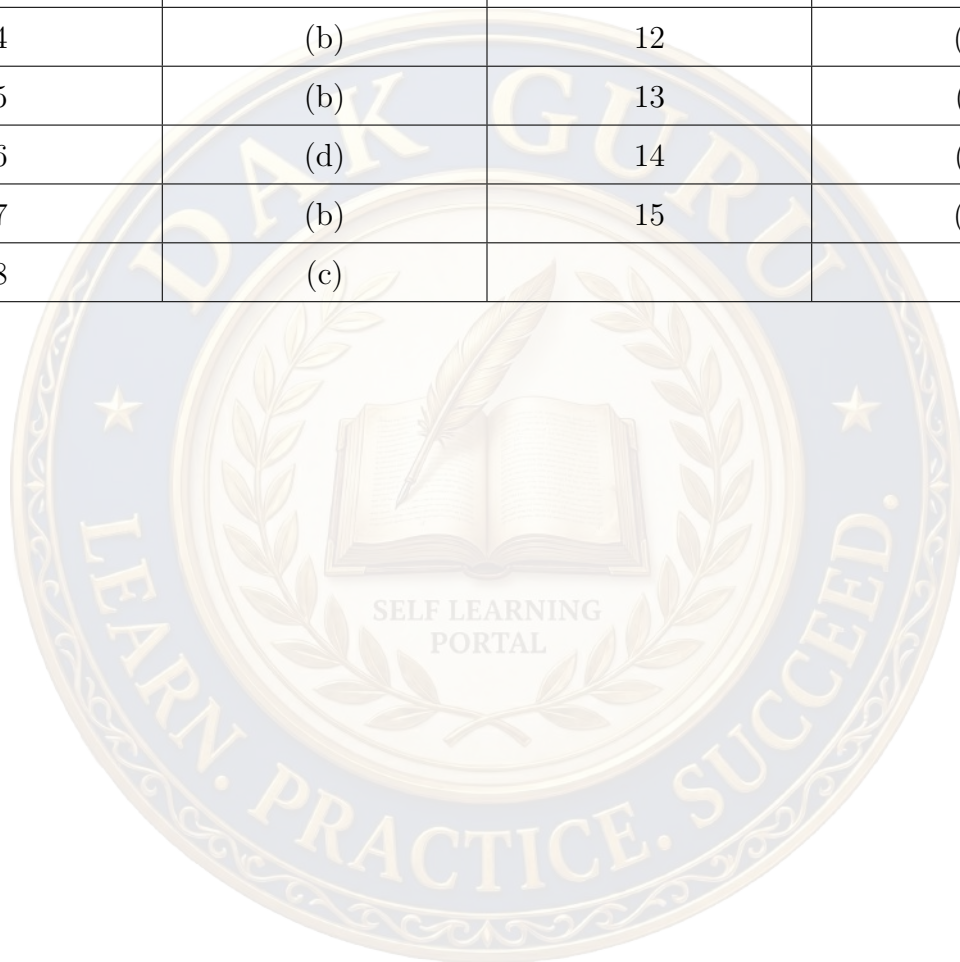
- (a) Within the country (India)
- (b) In the country where the crime was committed
- (c) In any tax haven
- (d) None of the above

15. Section 3 of the PMLA states that the process of money laundering is a:

- (a) One-time offence
- (b) Continuing offence
- (c) Bailable offence
- (d) Compoundable offence

ANSWER KEY (Part A)

Q.No	Answer	Q.No	Answer
1	(c)	9	(b)
2	(b)	10	(c)
3	(d)	11	(c)
4	(b)	12	(b)
5	(b)	13	(c)
6	(d)	14	(a)
7	(b)	15	(b)
8	(c)		



PART B: PMLA CHAPTER III (Q16 - Q30)

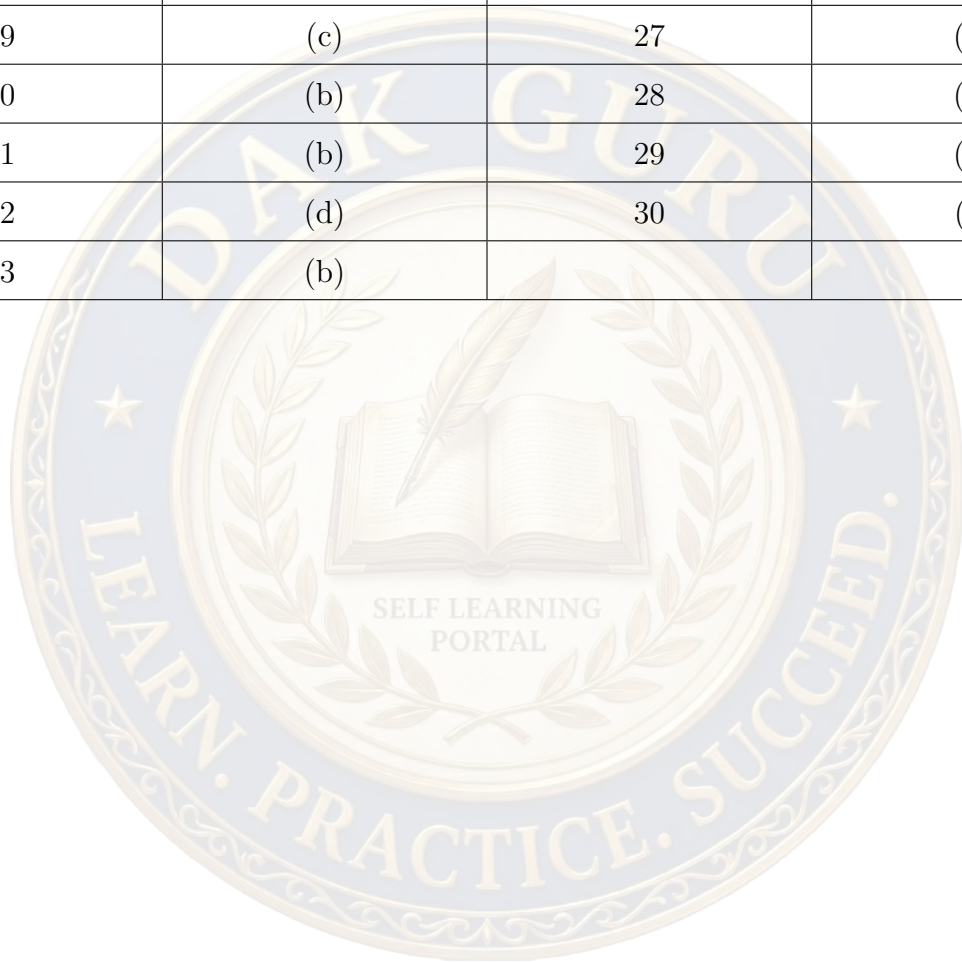
16. Under Section 5(1) of the PMLA, who is empowered to provisionally attach property involved in money laundering?
- (a) Police Officer not below SP rank (c) Adjudicating Authority
(b) Director or Officer not below Deputy Director (d) High Court Judge
17. For how long does a "Provisional Attachment" order passed under Section 5(1) remain valid?
- (a) 90 days (c) 365 days
(b) 180 days (d) 60 days
18. The Director must forward a copy of the provisional attachment order to the Adjudicating Authority within a sealed envelope immediately after attachment. This is required under:
- (a) Section 5(2) (c) Section 17(1)
(b) Section 8(1) (d) Section 19(1)
19. Under Section 5, does the provisional attachment order prevent the enjoyment of the immovable property by the person interested in such property?
- (a) Yes, immediate eviction is required. confiscation.
(b) No, enjoyment is allowed strictly. (d) Yes, but only for commercial properties.
(c) No, provided it does not frustrate the ties.
20. The Adjudicating Authority under PMLA consists of a Chairperson and two other Members. Who appoints them?
- (a) The President of India (c) The Chief Justice of India
(b) The Central Government (d) The Director of Enforcement

21. Upon receipt of a complaint under Section 5(5), the Adjudicating Authority serves a notice to the person concerned to indicate sources of income within a period of not less than:
- (a) 15 days (c) 45 days
(b) 30 days (d) 60 days
22. Under Section 6, a person shall not be qualified for appointment as a Member of the Adjudicating Authority unless he:
- (a) Is qualified to be a District Judge. (c) Possesses such qualifications as may be prescribed.
(b) Is a member of the Indian Legal Service (Grade I). (d) Any of the above.
23. The term of office for the Chairperson and Members of the Adjudicating Authority is:
- (a) 3 years or age of 62 (c) 4 years or age of 60
(b) 5 years or age of 65 (d) 6 years or age of 70
24. Under Section 8(3), if the Adjudicating Authority confirms the attachment of property, the attachment shall continue during investigation for a period not exceeding:
- (a) 90 days (c) 365 days
(b) 180 days (d) Indefinitely (until court order)
25. When a property is confiscated under PMLA, Section 9 states that all rights and title in such property shall vest in:
- (a) The State Government (c) The Directorate of Enforcement
(b) The Central Government (d) The Scheduled Bank holding it
26. Who is appointed under Section 10 to manage the property confiscated under PMLA?
- (a) The Receiver (c) The Administrator
(b) The Custodian (d) The Manager

27. The Adjudicating Authority, for the purposes of PMLA, has the same powers regarding summons and evidence as which of the following courts?
- (a) Criminal Court under CrPC (c) Consumer Court
(b) Civil Court under CPC, 1908 (d) High Court
28. If a Member of the Adjudicating Authority resigns, the vacancy must be filled within:
- (a) 1 month (c) 6 months
(b) 3 months (d) As soon as possible
29. Under Section 5(4), does the provisional attachment interfere with the rights of a "bonafide third party" claiming interest in the property?
- (a) Yes, all rights are suspended. (c) Third parties have no standing in PMLA.
(b) No, nothing prevents enjoyment of property. (d) Only if the third party is a relative.
30. Where the provisional attachment order is confirmed by the Adjudicating Authority, the Director shall forthwith take:
- (a) Possession of the property (c) A signature of the accused
(b) A photograph of the property (d) A bond from the bank

ANSWER KEY (Part B)

Q.No	Answer	Q.No	Answer
16	(b)	24	(c)
17	(b)	25	(b)
18	(a)	26	(c)
19	(c)	27	(b)
20	(b)	28	(b)
21	(b)	29	(b)
22	(d)	30	(a)
23	(b)		



PART C: PMLA CHAPTER V (Q31 - Q45)

31. Under Section 16 of the PMLA (Power of Survey), an authority can enter a place to survey only if they have "reason to believe" that:
- (a) An offence has been committed.
 - (b) The person is about to abscond.
 - (c) The act constitutes money laundering.
 - (d) Required records or proceeds of crime are kept there.
32. Under Section 17 (Search and Seizure), if it is not practicable to seize a property or record, the authorized officer may make an order to:
- (a) Confiscate the property immediately.
 - (b) Freeze such property or record.
 - (c) Arrest the owner immediately.
 - (d) Destroy the records to prevent misuse.
33. According to Section 18 (Search of Persons), if the person to be searched requires, they must be taken to which authority within 24 hours?
- (a) The nearest Police Station.
 - (b) The Director of Enforcement.
 - (c) A Gazetted Officer or a Magistrate.
 - (d) The Adjudicating Authority.
34. Under Section 19 (Power to Arrest), an officer must have "reason to believe" based on material in his possession that the person is:
- (a) Guilty of an offence punishable under PMLA.
 - (b) Planning to leave the country.
 - (c) Hiding proceeds of crime.
 - (d) A habitual offender.
35. A person arrested under Section 19 of the PMLA must be produced before the Special Court or Magistrate within:
- (a) 12 hours
 - (b) 24 hours (excluding journey time)
 - (c) 48 hours
 - (d) 7 days
36. Under Section 20 (Retention of Property), property seized can be retained for a period not exceeding ____ days unless confirmed by the Adjudicating Authority.
- (a) 90 days
 - (b) 180 days
 - (c) 365 days
 - (d) 60 days

37. Section 24 of the PMLA deals with the "Burden of Proof". In the case of a person charged with the offence of money laundering, the burden of proving that the proceeds of crime are untainted lies on:
- (a) The Prosecution (ED) (c) The Police
(b) The Accused (d) The Court
38. Under Section 17(1), can the authorized officer break open the lock of any door, box, locker, or safe if the keys are not available?
- (a) No, it is a violation of privacy. (c) Yes, if exercising the power of search.
(b) Yes, only with a specific court order. (d) No, they must wait for the owner.
39. Under Section 21 (Retention of Records), who may order the release of records to the person from whom they were seized after the investigation is complete?
- (a) The Police Inspector (c) The Bank Manager
(b) The Director or Adjudicating Authority (d) The District Magistrate
40. Section 22 establishes "Presumptions" regarding records or property found in the possession of a person. The court presumes that:
- (a) The records belong to the person. (c) The signature/handwriting is of that person.
(b) The contents of the records are true. (d) All of the above.
41. Under Section 19(2), the arresting officer must forward a copy of the arrest order and the material in his possession to:
- (a) The Adjudicating Authority (c) The Chief Justice
(b) The Central Government (d) The CBI Director
42. Section 23 deals with "Presumption in inter-connected transactions". It implies that if one transaction is proven to be involved in money laundering:
- (a) The others are presumed valid. (c) The burden shifts to the prosecution.
(b) The others are also presumed to be involved. (d) The case is dismissed.

43. Which section of PMLA empowers the authority to place marks of identification on records during a survey?

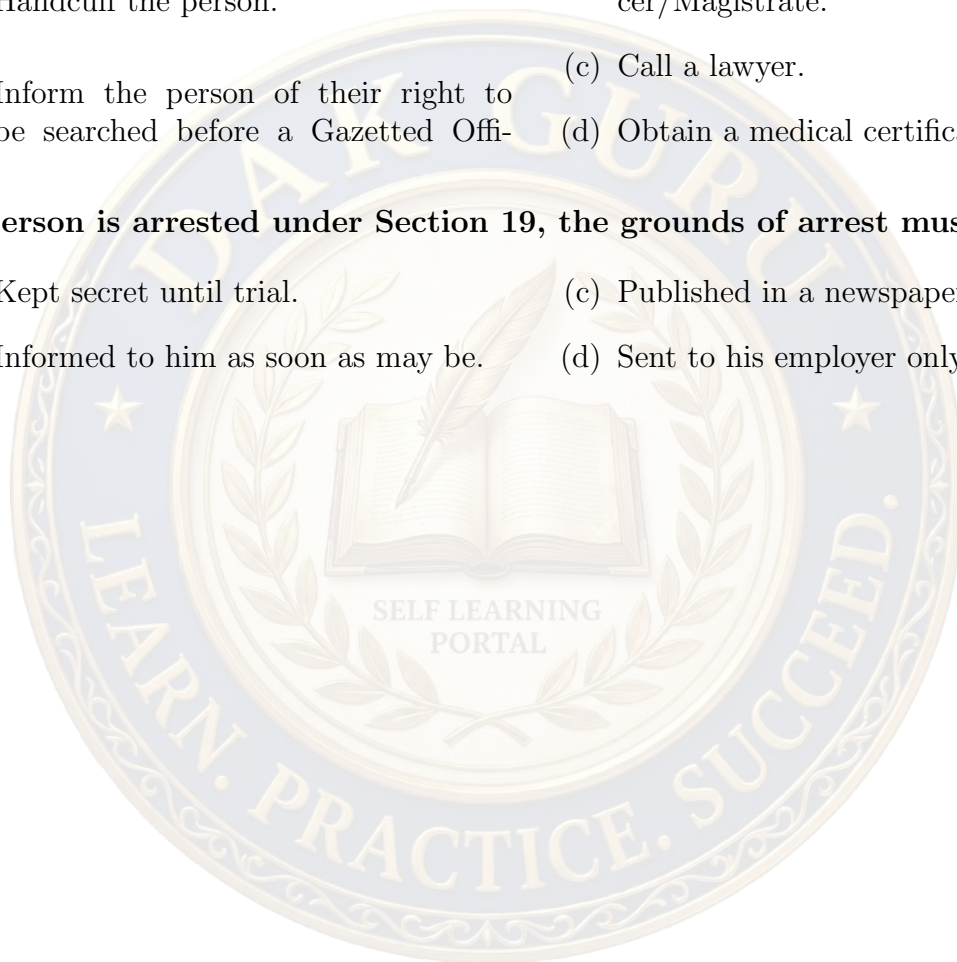
- (a) Section 16(1)(ii)
- (b) Section 17(1)
- (c) Section 19(1)
- (d) Section 50

44. Before searching a person under Section 18, is it mandatory for the authorized officer to:

- (a) Handcuff the person.
- (b) Inform the person of their right to be searched before a Gazetted Officer/Magistrate.
- (c) Call a lawyer.
- (d) Obtain a medical certificate.

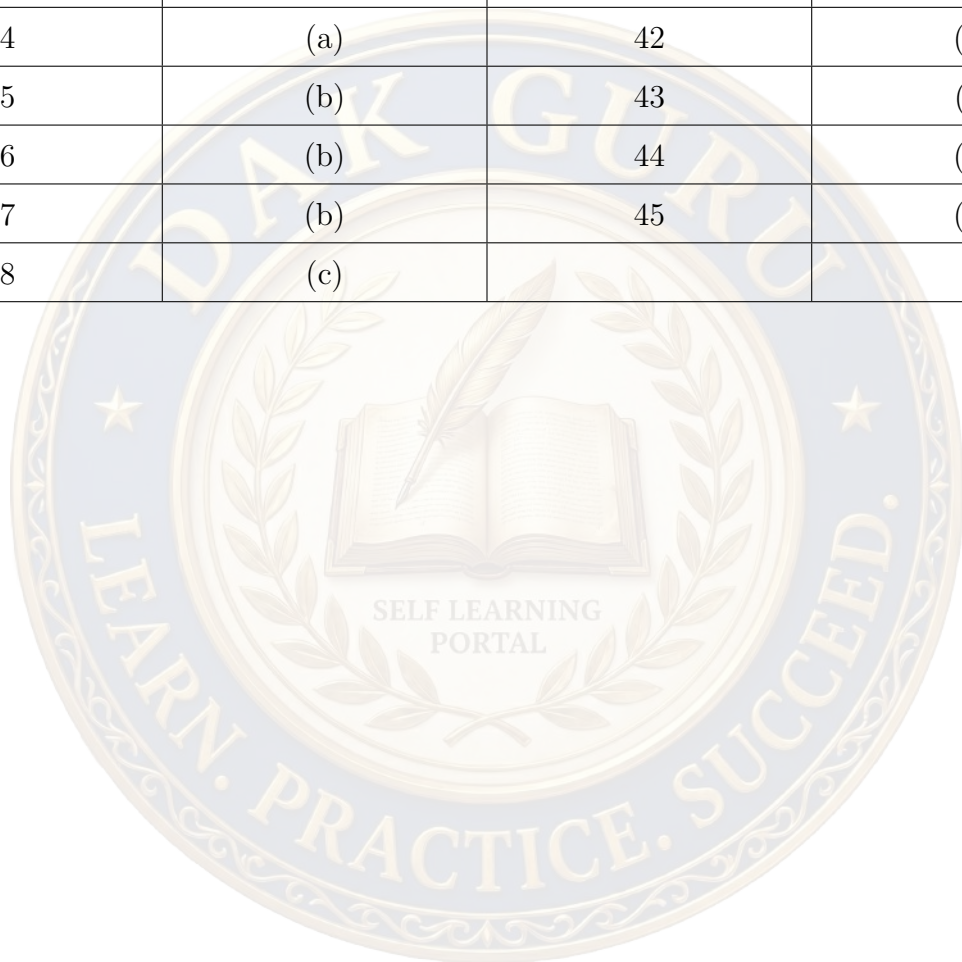
45. If a person is arrested under Section 19, the grounds of arrest must be:

- (a) Kept secret until trial.
- (b) Informed to him as soon as may be.
- (c) Published in a newspaper.
- (d) Sent to his employer only.



ANSWER KEY (Part C)

Q.No	Answer	Q.No	Answer
31	(d)	39	(b)
32	(b)	40	(d)
33	(c)	41	(a)
34	(a)	42	(b)
35	(b)	43	(a)
36	(b)	44	(b)
37	(b)	45	(b)
38	(c)		



PART D: APPELLATE TRIBUNAL & SPECIAL COURTS (Q46 - Q60)

46. Under Section 26 of the PMLA, any person aggrieved by an order of the Adjudicating Authority may prefer an appeal to the Appellate Tribunal within a period of:
- (a) 30 days (c) 60 days
(b) 45 days (d) 90 days
47. The Appellate Tribunal constituted under PMLA shall not be bound by the procedure laid down by the Code of Civil Procedure, 1908, but shall be guided by:
- (a) The Indian Evidence Act (c) The Code of Criminal Procedure
(b) The Principles of Natural Justice (d) The Directives of ED
48. Under Section 43, the Central Government, in consultation with whom, designates one or more Courts of Session as Special Courts?
- (a) The Supreme Court of India (c) The State Government
(b) The Chief Justice of the High Court (d) The Law Ministry
49. Section 45 of the PMLA imposes "Twin Conditions" for granting bail for an offence under this Act. These conditions require the Public Prosecutor to be given an opportunity to oppose, and the court to be satisfied that:
- (a) The accused has paid the fine. (c) The accused has surrendered his passport.
(b) The accused is not guilty and unlikely to commit an offence while on bail. (d) The investigation is complete.
50. Who has the power to appoint the Chairperson and Members of the Appellate Tribunal under Section 28?
- (a) The President of India (c) The Chief Justice of India
(b) The Central Government (d) The Lok Sabha Speaker

51. Any person aggrieved by any decision or order of the Appellate Tribunal may file an appeal to the High Court under Section 42 within:

- (a) 30 days
- (b) 45 days
- (c) 60 days
- (d) 90 days

52. Under Section 44, the Special Court can take cognizance of an offence under Section 3 only upon:

- (a) A police report (FIR).
- (b) A complaint made by an authority authorized by the Central Govt.
- (c) A suo moto action by the Judge.
- (d) A petition by a victim.

53. The Chairperson or a Member of the Appellate Tribunal shall hold office for a term of:

- (a) 3 years or until age 62
- (b) 5 years or until age 65
- (c) 4 years or until age 60
- (d) 6 years or until age 70

54. The Appellate Tribunal has the same powers as a Civil Court in respect of:

- (a) Summoning and enforcing attendance of any person.
- (b) Requiring discovery and production of documents.
- (c) Receiving evidence on affidavits.
- (d) All of the above.

55. Is it mandatory for the offences under the PMLA to be tried only by the Special Court constituted for the area where the offence has been committed?

- (a) No, any court can try it.
- (b) Yes, Section 44 mandates trial by Special Court.
- (c) Only if the amount exceeds Rs. 1 Crore.
- (d) Only if the accused consents.

56. Under Section 46, a Special Public Prosecutor appointed for the Special Court must have been in practice as an advocate for not less than:

- (a) 5 years
- (b) 7 years
- (c) 10 years
- (d) 3 years

57. Can the Special Court try the "Scheduled Offence" and the offence of Money Laundering (PMLA) simultaneously?

- (a) No, Scheduled Offence must be tried first.
- (b) No, they must be tried by different courts.
- (c) Yes, Section 44 allows trial of both offences by the Special Court.
- (d) Yes, but only if the accused requests it.

58. Who is empowered to remove the Chairperson or Member of the Appellate Tribunal under Section 32?

- (a) The Central Government, after an inquiry by a Supreme Court Judge.
- (b) The President, on the advice of the
- (c) Prime Minister.
- (d) The Chief Justice of India directly.
- (e) The Lokpal.

59. Under Section 35(2)(f), the Appellate Tribunal has the power to:

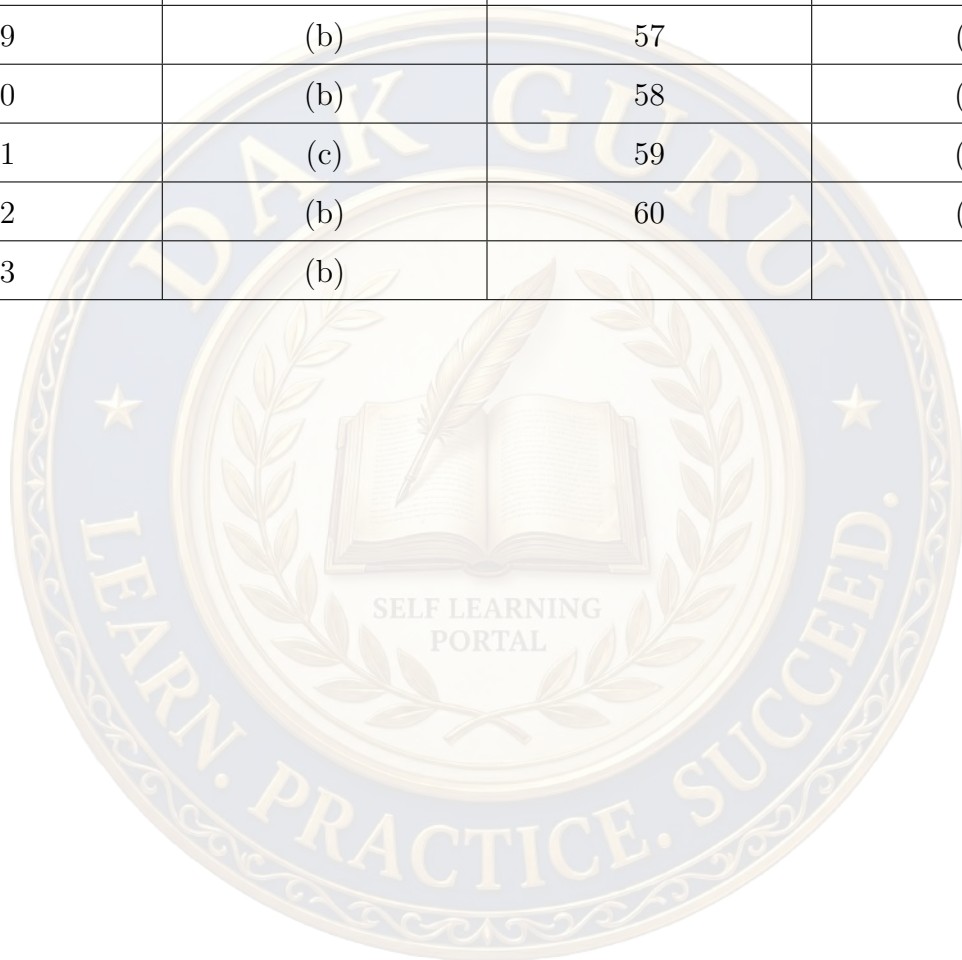
- (a) Dismiss a case for default or decide it ex parte.
- (b) Arrest the appellant.
- (c) Impose criminal penalties.
- (d) Amend the PMLA Act.

60. The offences under the Prevention of Money Laundering Act are:

- (a) Cognizable and Bailable
- (b) Non-cognizable and Bailable
- (c) Cognizable and Non-bailable
- (d) Non-cognizable and Non-bailable

ANSWER KEY (Part D)

Q.No	Answer	Q.No	Answer
46	(b)	54	(d)
47	(b)	55	(b)
48	(b)	56	(b)
49	(b)	57	(c)
50	(b)	58	(a)
51	(c)	59	(a)
52	(b)	60	(c)
53	(b)		



PART E: REPORTING ENTITIES & MISC (Q61 - Q75)

61. Under Section 12 of the PMLA, every "Reporting Entity" is required to maintain records of all transactions for a period of ____ from the date of the transaction.
- (a) 2 years (c) 10 years
(b) 5 years (d) 7 years
62. Which section of the PMLA mandates the verification of identity (KYC) by Reporting Entities?
- (a) Section 11A (c) Section 13
(b) Section 12AA (d) Section 15
63. If a Reporting Entity fails to comply with the obligations under Section 12, the Director may impose a monetary penalty under Section 13(2)(d). The penalty amount shall be:
- (a) Not less than Rs. 10,000 but may extend to Rs. 1 Lakh per failure. (c) Fixed at Rs. 50,000.
(b) Not less than Rs. 1 Lakh but may extend to Rs. 5 Lakhs per failure. (d) Double the amount of the transaction involved.
64. Under Section 12AA, every reporting entity must perform "Enhanced Due Diligence" prior to the commencement of:
- (a) Any domestic transaction. (c) Hiring new employees.
(b) A specified transaction. (d) Opening a salary account.
65. Who among the following falls under the definition of "Reporting Entity" as per Section 2(1)(wa)?
- (a) Banking Company (c) Intermediary (e.g., Stockbroker)
(b) Financial Institution (d) All of the above

66. Under Section 14, are Reporting Entities (or their employees) liable to any civil or criminal proceedings for furnishing information to the Director in good faith?

- (a) Yes, if the customer sues them.
- (b) No, they are protected from such liability.
- (c) Yes, for breach of confidentiality.
- (d) Only if the information turns out to be false.

67. Section 63 prescribes punishment for willfully giving false information or refusing to give information. The punishment may extend to:

- (a) Imprisonment for 2 years and fine up to Rs. 50,000.
- (b) Imprisonment for 3 years and fine up to Rs. 1 Lakh.
- (c) Only a fine of Rs. 10,000.
- (d) Imprisonment for 6 months.

68. Section 70 deals with "Offences by Companies". If a company commits an offence under PMLA, who is deemed to be guilty?

- (a) Only the Company as a legal entity.
- (b) Every person in charge of and responsible for the conduct of business, as well as the Company.
- (c) Only the lowest-level employee who committed the act.
- (d) The shareholders.

69. According to Section 54, which of the following officers are empowered and required to assist the authorities in the enforcement of this Act?

- (a) Officers of Customs and Central Excise.
- (b) Officers of Police.
- (c) Officers of RBI and SEBI.
- (d) All of the above.

70. Under Section 50, all proceedings before the Director or Adjudicating Authority are deemed to be:

- (a) Administrative proceedings.
- (b) Judicial proceedings within the meaning of IPC.
- (c) Informal inquiries.
- (d) Arbitration proceedings.

71. Section 67 (Bar of Jurisdiction) states that no _____ shall have jurisdiction to entertain any suit or proceeding in respect of any matter which the Director or Adjudicating Authority is empowered to determine.
- (a) High Court (c) Criminal Court
(b) Civil Court (d) Consumer Court
72. Under Section 66, the Director may furnish information to other authorities (like Income Tax or Police) if he is satisfied that the information is necessary for:
- (a) Publishing in the media. (c) Creating a public database.
(b) Performing the functions under any other law. (d) Harassing the accused.
73. What happens to the proceedings under PMLA if the person accused dies or becomes insolvent during the process (Section 72)?
- (a) The proceedings abate (stop) immediately. (c) The case is transferred to the Supreme Court.
(b) The proceedings continue against the legal representative or official assignee. (d) The property is returned to the family.
74. Reporting Entities must keep the identity of the client and records confidential under Section 12, but this confidentiality clause does NOT apply to:
- (a) Disclosure to the Director under PMLA. (c) Disclosure to the media.
(b) Disclosure to private investigators. (d) Disclosure to competitors.
75. Under Section 11A, if a Reporting Entity fails to perform client verification (KYC), who is responsible for ensuring compliance?
- (a) The client. (c) The Aadhaar authority.
(b) The Reporting Entity. (d) The Police.

ANSWER KEY (Part E)

Q.No	Answer	Q.No	Answer
61	(b)	69	(d)
62	(a)	70	(b)
63	(a)	71	(b)
64	(b)	72	(b)
65	(d)	73	(b)
66	(b)	74	(a)
67	(a)	75	(b)
68	(b)		

